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Weekly Market Wrap-Up: War-On, War-Off, War-On

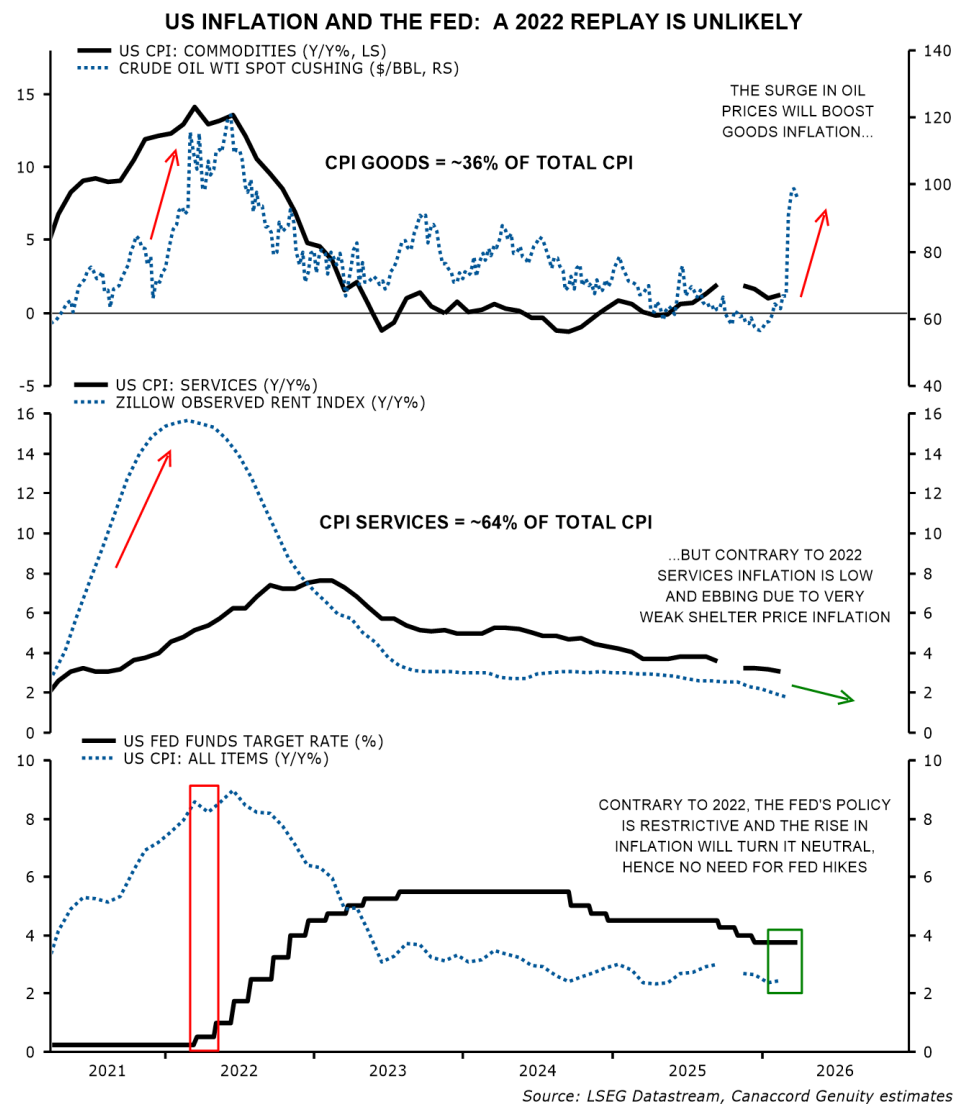
US stocks are headed for a fifth-straight losing week, something that we last saw through the 2022 bear market. Undoubtedly, investors are no longer buying President Trump's extensions of military-strike deadlines. Investors seem to be taking the view that there will be economic damage before the war in the Middle East is over. In Canada, the S&P/TSX has managed to eke out a ~2% gain, thanks to the strong showing in energy stocks and the rebound in gold equities. As we explained in our [Mid-Week](#) note, we believe the bulk of the correction in gold stocks is over. Overall, equities remain pressured by the lack of catalysts to end the surge in oil prices, the pullback in bond yields, and US\$ appreciation. A few rays of light; first, oil prices have risen this week, but the one-year forward strip is down. Second, despite heightened geopolitical risk and short-covering activity, the DXY has failed to move much above the 100 resistance level. Last, the Bank of Mexico cut its policy rate this week. It is the first bank to signal that its monetary policy was already tight and that the rate cut was a pre-emptive strike against a pending growth shock arising from the Middle East conflict. Also, policymakers see future bumps in inflation as temporary and not broad-based.

Our focus this week is in line with the reasoning behind the Bank of Mexico's decision to cut rates, that is, the upcoming rise in inflation could be transitory (ouch!), not broad-based, and unlikely to lead to a string of Fed hikes like in 2022 when the Russia-Ukraine war erupted. Our *Chart of the Week* says it all. As we can see, though the surge in oil prices will boost goods inflation, unlike 2022, a big chunk of it will be offset by disinflationary forces in services, thanks to weak labour and housing market conditions, leading to weak shelter price inflation. Investors must remember that goods inflation accounts for only 36% of the CPI basket vs. 64% for services. Also, shelter inflation accounts for ~56% of the service inflation basket. In other words, the upcoming inflation bumps should be much narrower than in 2022. Another difference is the Fed's policy. Today, it is restrictive (Fed funds > inflation) while it was extremely loose in 2022. Therefore, the upcoming rise in inflation should turn the Fed's policy neutral, hence no need for the Fed to hike rates. Thus, bond bulls should get ready to pull the trigger if US bond market participants were to price a Fed hike before the end of the year.

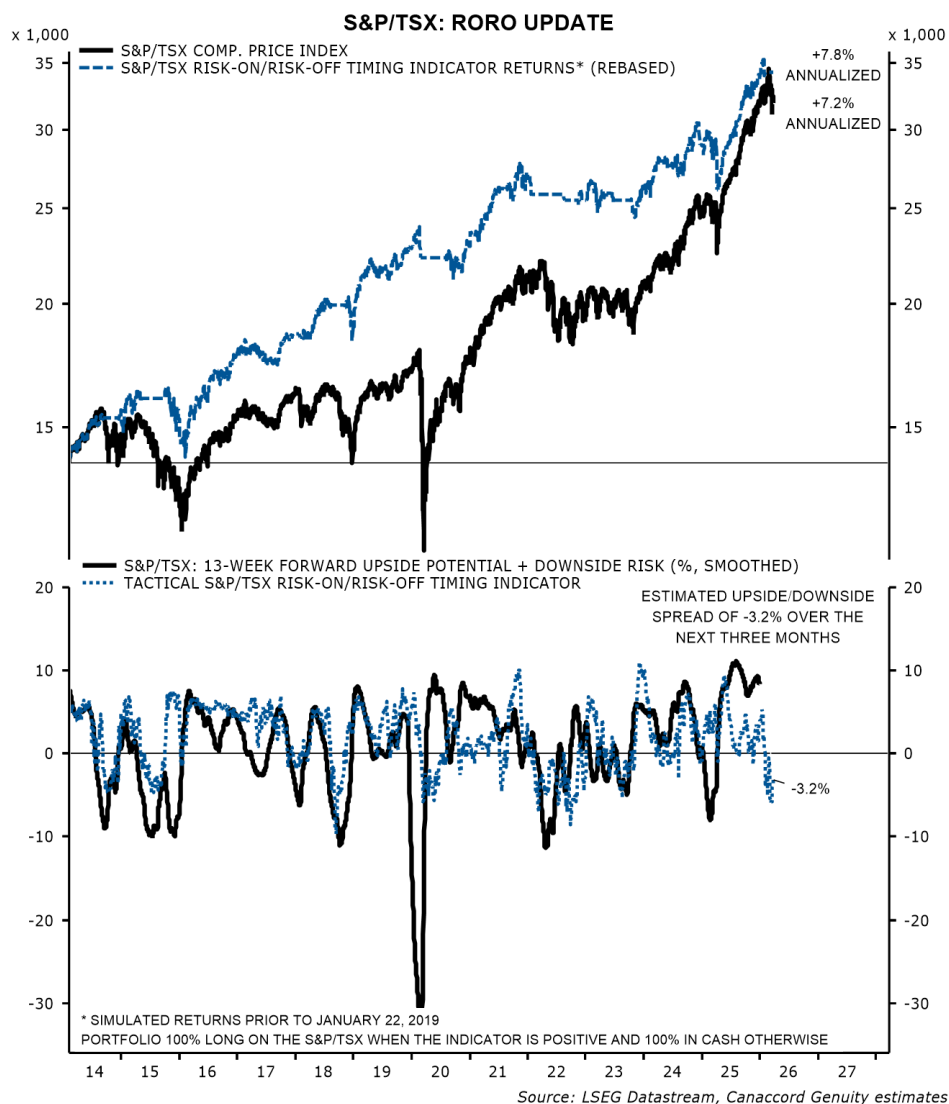
Regarding economic data in the US, import (+1.3% MoM) and export (+1.5%) prices both surged in February. In other words, upward pressure on inflation started before the jump in oil prices likely supported by re-stocking efforts. Interestingly, despite the jump in energy prices, the S&P Global mfg. PMI advanced to 52.4 in March (from 51.6) and beat expectations (51.3). If anything, business sentiment in the service sector looks more fragile, with the PMI moderating to 51.1 (from 51.7). A similar pattern seems to be emerging in Europe, whereby the flash HCOB PMI improved to 51.4 (from 50.8) while the PMI for services dropped to 50.1 (from 51.9). Admittedly, Japan is more exposed to energy shocks, which may explain why both mfg. (51.4, from 53) and service PMIs (52.8, from 53.8) softened in March. All things considered, it seems manufacturing industries are in a good position to pass on price increases, while service-providing companies may have to absorb both higher costs as well as an eventual softening in demand conditions.

Next week, we will keep an eye on the trade balance in Canada. In the US, our focus will be on nonfarm payrolls, ISM PMIs and retail sales. Finally, we await flash CPI estimates in Europe, the Tokyo CPI, retail sales and industrial production in Japan as well as PMIs in China.

Chart of the Week



S&P/TSX Risk-on/Risk-off Indicator: -3.2%



Designing a Risk-On/Risk-Off indicator for the S&P/TSX. We selected 35 market-based variables and designed the Risk-On/Risk-Off indicator (RoRo) for the S&P/TSX using a recurrent neural network architecture. The RoRo aims to forecast the upside potential vs. downside risk for Canadian equities on a tactical or 3-month forward rolling basis. Adding maximum price increases and drawdowns together provides us with a Risk-On/Risk-Off gauge capturing tradable rallies and corrections for the S&P/TSX. When the upside potential is perceived greater (lower) than downside risks, our indicator turns positive (negative). To be clear, we do not expect clients to blindly follow the ups and downs of our indicator. That said, RoRo, we believe, is a worthy addition to the arsenal of in-house timing indicators we already use to formulate our portfolio strategy. Importantly, using a model helps remove sentiment from the investing equation when assessing upside potential/downside risks for the equity market.

RoRo adds value out-of-sample. We assume a portfolio 100% long on the S&P/TSX when our RoRo is positive. Conversely, we assume 100% cash positioning when our indicator turns negative. Our out-of-sample simulations since February 2014, and real-time forecasts since the [initiation report](#) on January 22, 2019, show that using RoRo, the simulated portfolio returned +7.8% (price return, annualized) compared to a return of +7.2% for the S&P/TSX.

Like all neural networks, RoRo is a pure black box. By this we mean it is impossible to reconstitute forecasts. Although we provide variables that have been used to build RoRo, we cannot pinpoint factors that lead to BUY and SELL signals. One must accept that the neural network has been well trained and assume that historical data has predictive value. Out-of-sample forecasting success does not guarantee real-time success, and results may vary with each use and over time.

S&P/TSX RISK-ON/RISK-OFF TIMING INDICATORS: EXPLANATORY VARIABLES

Equity Markets

S&P/TSX
S&P 500
MSCI France
MSCI Germany
MSCI United Kingdom
MSCI Japan
MSCI EM (US\$)
CBOE Volatility index (VIX)

Commodities

Gold bullion (US\$/oz)
Crude Oil WTI (US\$/bbl)
LME Copper (US\$/lb)
CRB Grain index

Exchange rates

US Dollar index (DXY)
MS EM Currency index
CAD/USD

Technical/Internal

S&P/TSX 13-Week RSI
DS Canada Market Breadth (% , 13-WMA)
DS Canada Market stocks in bear market (%)
S&P 500 13-Week RSI
DS US Market Breadth (% , 13-WMA)
DS US Market stocks in bear market (%)
Relative Sector Performance (10 S&P/TSX Sectors)

Interest Rates

Moody's BAA Corp. Bond Yields
Moody's AAA Corp. Bond Yields
US 10-Yr Treasury Bond Yields
US 3-Mth Treasury Bills

Source: Refinitiv Datastream, Canaccord Genuity estimates

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Date and time of first dissemination: March 27, 2026, 14:03 ET

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Rating	Coverage Universe		IB Clients
	#	%	%
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Hold	136	14.05%	8.82%
Sell	3	0.31%	0.00%
Speculative Buy	155	16.01%	62.58%
	968*	100.0%	

*Total includes stocks that are Under Review

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